



Economic outlook 2026-28: It got worse before it may get better

28 September 2026
Allianz Research

Content

Page 3-4

Executive Summary

Page 5-9

Global outlook: It may get better if three assumptions hold

Page 10-13

Inflation and central banks: More hikes ahead before easing cycle starts in Q4 2027

Page 14-15

Developed markets: Growth holding up amid different drivers

Page 16-18

Emerging markets: Tailwind from exports, mainly thanks to AI and rerouting

Page 19-21

Corporates: From energy shock to rate shock

Page 22-26

Capital markets outlook: Cruel (bond) summer coming to an end

Executive Summary

Ludovic Subran
Chief Investment Officer
& Chief Economist
ludovic.subran@allianz.com

Paul Adam
Investment Strategist
paul.adam@allianz.com

Spyridon Andreopoulos
Senior Economist DACH
spyros.andreopoulos@allianz.com

Jordi Basco Carrera
Head of Private Markets
jordi.basco_carrera@allianz.com

Julia Belousova
Senior Investment Strategist
julia.belousova@allianz.com

Ana Boata
Head of Economic Research
ana.boata@allianz-trade.com

Jeanne Buée
ESG Analyst & Data Scientist
Jeanne.buee@allianz-trade.com

Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com

Lluís Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com

Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com

Pierpaolo Fiore
Investment strategist
pierpaolo.fiore@allianz.com

Bjoern Griesbach
Head of Macroeconomic and Capital
Markets Research
bjoern.griesbach@allianz.com

America Hernandez
Senior Investment Strategist
america.hernandez@allianz.com

Bernhard Hirsch
Head of Rates and Emerging Markets
bernhard.hirsch@allianz.com

Alexander Hirt
Head of Corporate Research
alexander.hirt@allianz.com

Patrick Krizan
Senior Investment Strategist
patrick.krizan@allianz-trade.com

• **Summer brought little of the calm markets had priced in before it began.** Three tensions we had been tracking escalated through the season, surfacing as fresh flashpoints by early September: a fresh energy shock out of the Middle East, a bond sell-off that has spread from the US to Japan to Europe (and drawn erratic policy responses from central banks and governments alike) and renewed doubts about the AI boom – talk of chip and power shortages, bubble concerns and underwhelming returns on frontier-model spend.

• **But none of this has yet broken the real economy.** Q2 growth surprised to the upside, carried by net exports and Germany's stimulus in Europe, and by robust AI-related investment in the US and Asia. Forward-looking indicators such as European manufacturing PMIs at four-year highs and strong US Q3 nowcasts show little sign of deterioration, albeit with marked divergence across sectors.

• **The Great Unwind: the case for an orderly path forward.** Our baseline continues to be that these three tension points will ease rather than escalate, but that call rests on specific mechanisms. In the report we also model three downside scenarios and their economic and capital market impacts, each based on a disorderly release of the tensions.

o **The energy shock risk.** We expect the conflict to stay contained and that rerouting, demand destruction and alternative supply do the job energy markets need them to do, easing prices and letting the inflation shock fade. This rests on the assumption that the Saudi pipeline outage does not extend past a month. If the outage runs longer, the shortfall could exceed 8Mb/d and Brent could stay near USD100/bbl, turning what is now a contained shock into a stagflationary shock.

o **The bond sell-off risk. We assume inflation moderates without meaningful second-round wage effects, and that sovereign markets can absorb elevated issuance without a disorderly rise in risk premia.** The assumption doing the real work here is political: the US midterms don't produce further fiscal slippage or erratic policy interventions and European elections (France, Italy) do not add fiscal uncertainty. Note that the real rate component of the US 10 treasury rates has increased by a full percentage point this past year confirming that bond markets also price more AI growth. In the downside, self-reinforcing yield–fiscal loop can take hold and force central banks to stabilize bond markets.

o **The AI capex cycle risk.** We think that AI capex decelerates slightly to peak at USD1trn in 2028, with value creation shifting from infrastructure build-out toward adoption and productivity. This rests on the assumption that infrastructure and power bottlenecks stay manageable, financing conditions don't tighten sharply and AI earnings keep validating the spend. A sharper investment retrenchment, given how much of US and Asian growth and equity performance now runs through AI, could spill from technology into corporate investment and trade, and from wealth effects into consumption.

Ano Kuhanathan
Head of Corporate Research
ano.kuhanathan@allianz-trade.com

Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com

Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com

Bjoern Lenkeit
Senior Investment Strategist
bjoern.lenkeit@allianz.com

Yao Lu
Investment Strategist
yao.lu@allianz.com

Lina Manthey
Investment Strategist
lina.manthey@allianz.com

Maddalena Martini
Senior Economist for Italy, Greece, Spain
& Benelux
maddalena.martini@allianz.com

Luca Moneta
Senior Economist for Emerging Markets
luca.moneta@allianz-trade.com

Giovanni Scarpato
Economist for Central & Eastern Europe
giovanni.scarpato@allianz.com

Dorian Simon
Investment Strategist
dorian.simon@allianz.com

Garance Tallon
Economist for Asia Pacific
garance.tallon@allianz-trade.com

Ziqi Ye
Investment Strategist
ye.ziqi@allianz.com

• **Our scenario in numbers: Global GDP growth slows from +3.0% in 2025 to +2.6% in 2026, recovers to +2.8% in 2027, and eases again to +2.6% in 2028.** US growth moderates from +2.1% (2026) to +1.8% (2028); the Eurozone recovers from +1.0% to +1.3%; Asia stays the main engine at around +4.4%. We forecast Brent to average 87 USD/bbl in Q4 2026 before easing to 76 USD/bbl on average in 2027 as Gulf export flows gradually normalize both in and around Hormuz but refined-product markets are running out of buffers, and prices should remain elevated for the next few quarters. European gas prices should stay elevated through year-end, with TTF averaging around EUR65/MWh in Q4 2026, before easing to about EUR36/MWh in 2027. Inflation stays 1–2pps above target in Europe and the US until H2 2027, which is why we still expect one more Fed hike to 4.00–4.25% and two more ECB hikes to 3.00% by year-end, with cutting cycles starting only once inflation is back at target – earliest end-2027 – and terminal rates of 3.50% (Fed) and 2.25% (ECB) reached in 2028.

• **What it means for markets. We see bond yields dropping when markets start pricing in our central bank scenario of a lower terminal rate in both Europe and the US.** The 10y Bund is expected to gradually drop from current levels to 3.3% at the end of 2026 and further to 3.0% in 2028 (US 10y from 4.7% end of 2026 to 4.3% in 2028). Credit spreads will slightly widen from current low levels given strong supply from the technology sector. Equity markets will finish the year with double digits again but decelerate to high single digits in 2027 and 2028, with valuations normalizing to historic levels (S&P500 2026-2028: 14%, 8%, 8%, Eurostoxx: 15%, 9%, 8% total return). The euro will gain gradually against the dollar, reaching 1.18 in 2028 as policy uncertainty and a weaker economy in the US will weigh on the greenback. Private markets are entering a more selective phase: Private equity faces a record ~13,300-company exit backlog, while infrastructure benefits from the AI buildout, with data-center investment expected at USD 5–7trn this decade.



Global outlook:

It may get better if three assumptions hold

The summer turned three risks we had been monitoring into part of our base case: a fresh energy shock out of the Middle East, a bond sell-off that has spread from the US to Japan to Europe and renewed doubts about the AI boom. Yet the real economy has not broken. Q2 growth surprised to the upside on net exports, Germany's stimulus and robust AI-related investment, and forward-looking indicators show limited sign of deterioration so far, even as bond markets tell a more troubled story, with yields at multi-year highs and equities still reading the growth story rather than the bond one. In our baseline scenario, global growth slows from +3.0% in 2025 to +2.6% in 2026, recovers to +2.8% in 2027 as the chokepoints fade and eases back to +2.6% in 2028 as that support wanes. Within this, the US moderates from +2.1% to +1.8%, the Eurozone recovers from +1.0% to +1.3%, and Asia remains the main growth engine throughout at around +4.4%. This path holds only as long as the three chokepoints unwind rather than escalate, and each rests on a specific, breakable assumption. On energy, we assume the conflict stays contained and that rerouting, demand destruction and

alternative supply let prices ease, contingent on the Saudi pipeline outage not extending past a month; a longer outage could push the shortfall above 8Mb/d and Brent back near USD100/bbl, turning a contained shock into a stagflationary one. On bonds, we assume inflation moderates without a wage spiral and that sovereign markets absorb elevated issuance without disorderly repricing, a call that rests on European elections (France, Italy) and the US midterms not adding fresh fiscal uncertainty; if that gives way, a self-reinforcing yield-fiscal loop could force central banks to choose between fighting inflation and stabilizing bond markets. On AI, we assume capex keeps supporting growth while decelerating, peaking above USD1trn in 2028, contingent on power and infrastructure bottlenecks staying manageable and earnings continuing to validate the spend; an investment retrenchment here would spill from technology into corporate investment, consumption and trade more broadly. Growth, inflation and rates in our baseline hold only as long as these three assumptions hold too.

Table 1: Real GDP growth forecasts, %

Growth (yearly %)	2023	2024	2025	2026f	2027f	2028f
Global	2.8	2.9	3.0	2.6	2.8	2.6
USA	2.9	2.8	2.1	2.1	2.0	1.8
Latin America	2.0	1.8	2.4	2.2	2.6	2.5
Brazil	3.3	3.0	2.6	2.0	2.2	2.3
UK	0.3	1.0	1.3	1.3	1.2	1.2
Eurozone	0.5	1.1	1.3	1.0	1.3	1.3
Eurozone excl. Ireland	0.7	1.0	1.1	1.3	1.2	1.3
Germany	-0.8	0.0	0.3	1.0	1.2	1.1
France	1.8	1.4	0.9	0.5	0.9	1.1
Italy	1.0	0.6	0.7	0.9	0.8	0.8
Spain	2.5	3.5	2.8	2.5	1.8	1.6
Central and Eastern Europe	1.3	2.3	2.3	2.1	2.4	2.7
Poland	0.2	3.1	3.6	3.6	2.8	2.9
Russia	3.9	4.9	1.1	0.5	1.8	0.8
Türkiye	5.0	3.5	3.6	2.7	3.6	2.8
Asia-Pacific	4.2	4.0	4.3	4.4	4.1	4.0
China	5.5	5.0	5.1	4.7	4.5	4.3
Japan	0.9	0.1	1.2	0.9	1.1	1.0
India	7.1	7.2	7.5	7.5	7.1	6.8
Middle East	2.0	2.5	3.2	-1.4	6.2	3.9
Saudi Arabia	0.5	2.6	4.6	-2.0	7.1	5.0
Africa	2.8	3.5	4.5	4.0	3.9	3.8
South Africa	0.8	0.5	1.1	1.0	1.2	1.5

Sources: National, Allianz Research

If our assumptions do not hold, we will stumble into one or several downside scenarios ranging from stagflation to demand-side deflationary recessions.

Table 2 sets out what happens if our assumptions on chokepoints break. Should Middle East de-escalation fail, the shock persists rather than fades: oil stays above USD100/bbl into 2027 and the picture turns stagflationary, with US and Eurozone growth undershooting the baseline. The Eurozone would see a recession, while inflation runs hotter and keeps rising through 2027, forcing the Fed and ECB to hike further to 5.00% and 4.00%, respectively. Long yields spike first before reversing sharply lower once the growth damage bites, and risk assets sell off hard through 2026

– equities barely positive, credit and sovereign spreads wider, private equity, private debt and real estate all negative – ahead of a partial rebound in 2027. An AI bubble burst plays out in the opposite direction: the shock is disinflationary, US growth stalls towards zero by 2027 and the Fed and ECB slash rates to just 0.50%, pulling long yields and oil sharply lower. Equities fall hardest in the US, given its greater AI concentration, while the damage is most acute in the areas most tied to the capex cycle – private equity, private debt and, notably, infrastructure, which turns negative for the only time across the three scenarios. The third scenario is a slower-moving chain reaction: a bond sell-off triggered by a political shock – long yields spiking and OAT and

BTP spreads blowing out as fiscal risk resurfaces on both sides of the Atlantic – triggers an equity correction, which in turn causes a growth shock in the US and elsewhere that eventually feeds through to sharply lower rates and inflation, with the Fed cutting to 1.50% and the ECB to 1.00% by 2027. Because the political shock hits the US and Europe together, EURUSD stays essentially unchanged from baseline throughout, even as growth and rates swing sharply; peripheral European spreads, however, stay persistently wider even once credit and core yields have normalized, a lingering political risk premium.

Table 2: What could go wrong

		Baseline				Downside risks					
		2025	2026	2027	2028	Middle East deescalation fails		AI bubble burst		Bond sell-off after political shock	
						2026 (MDD**)	2027	2026 (MDD**)	2027	2026 (MDD**)	2027
Growth	US	2.1	2.1	2.0	1.8	2.0	1.5	1.7	0.0	2.0	1.4
	EZ	1.3	1.0	1.3	1.3	0.8	0.4	0.9	0.4	0.8	0.5
Inflation	US	2.7	3.4	2.6	1.9	3.7	4.5	3.3	1.4	3.3	2.2
	EZ	2.1	2.9	2.5	2.1	3.4	4.8	2.8	1.7	2.8	1.7
Monetary Policy	Fed	3.75	4.25	4.00	3.50	4.50	5.00	0.50	0.50	4.25	1.50***
	ECB	2.00	3.00	3.00	2.25	3.25	4.00	0.50	0.50	3.00	1.00***
Rates 10y	US	4.2	4.7	4.5	4.3	5.4 (5.8)	4.00	3.00	2.50	5.6 (6.0)	3.50
	DE	2.9	3.3	3.2	3.0	3.8 (4.0)	3.00	2.00	2.00	3.8 (4.0)	2.50
Equity (TR, LC)	S&P500	18	14	8	8	+4 (-1)	10	-6 (-11)	6	+4 (-1)	10
	MSCI EMU	25	15	9	8	+5 (-1)	6	+5 (0)	8	+10 (+5)	8
Spreads	US IG	79	85	90	90	100 (110)	100	110 (120)	105	100 (110)	90
	EZ IG	78	80	85	85	110 (120)	110	100 (110)	95	110 (120)	85
	EM HC	163	170	175	185	200 (220)	190	220 (250)	220	200 (220)	175
	10y BTP	65	80	80	70	110 (130)	90	80 (100)	70	130 (160)	100
	10y OAT	71	100	70	70	120 (140)	90	100 (110)	70	130 (160)	100
	Oil (US\$/bbl)	68	88	76	73	95 (140)	100 (170)	70	65	76	73.0
EURUSD		1.13	1.16	1.17	1.18	1.12	1.15	1.20	1.20	1.16	1.17
Private markets*	Private equity	5.6	7.0	11.0	9.5	-7 (-10)	7	-12 (-15)	5	-5 (-7)	7
	Private debt	530	540	545	550	650 (700)	600	700 (800)	650	600 (650)	575
	Infrastructure	8.4	9.0	9.5	10.0	5 (4)	9.5	-3 (-5)	2	7 (5)	10
	Real estate	5.3	5.7	6.0	7.4	-3 (-5)	9	-1 (-2)	7	-2 (-4)	8

Year-end values are displayed for capital market figures

* Average of US and EZ

** MDD = Maximum draw down

*** Additional quantitative CB measures e.g. stop QT in Europe, TPI from the ECB, yield curve control, QE in the US

Sources: LSEG Datastream, Allianz Research

Global trade of goods in volume is expected to grow at +4% y/y in 2026, driven mainly by AI, which masks a more divergent global economy. AI-driven demand will contribute 4.8pps to global trade, which together with European defense spending (+0.2pp) and carryover effects (+1.4pp) add further support. Without these offsetting forces, the underlying picture would be considerably weaker: The Strait of Hormuz closure is estimated to subtract 2.1pps from trade growth, while the ongoing trade war erases a further 0.4pp. The rest of the global economy is contracting in trade terms, and the +4% headline number conceals what is effectively a two-speed world.

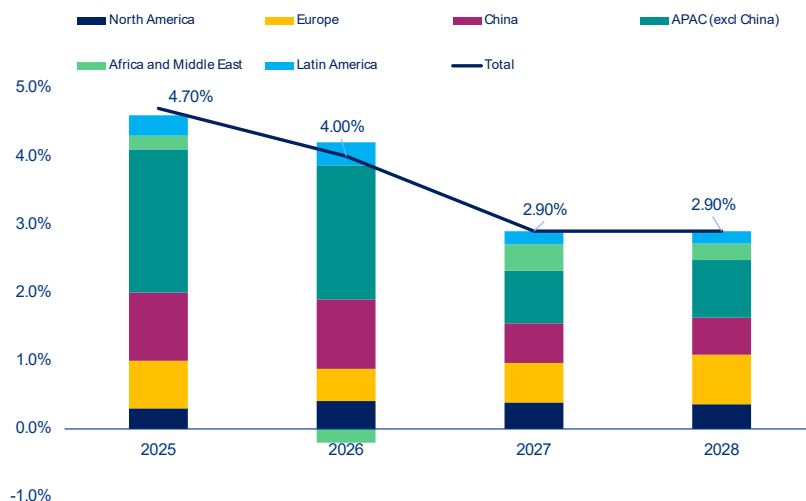
Global goods trade growth in volume is expected to ease to +2.9% in both 2027 and 2028 as the forces supporting the 2026 headline begin to fade. AI-driven demand will remain the largest contributor to growth (+1pp), but at slower phase than prior years as deceleration starts. Hormuz normalization is unlikely to be linear, causing stock rebuilding to take longer and extend to 2028. Defense spending remains a positive but diminishing contributor. The trade war persists through

2027, with US tariffs continuing to disrupt established supply chains, subtracting 0.3pp from growth. In parallel, free-trade agreements (FTAs) signed over the past 12 months will begin generating measurable export gains from 2027, adding around 0.1pp annually, with beneficiaries concentrated in the EU, India, Mercosur, the UAE and Australia.

At a country level, the clearest winners are economies embedded in AI supply chains, concentrated in Asia-Pacific, while structurally the US trade war unleashes the so-called “China shock 2.0” amplifying China’s presence through global supply chains.

South Korea and Taiwan are posting export growth rates of +10.5% and +30% y/y, respectively, driven by semiconductor exports and other AI inputs. Mexico, Vietnam and Malaysia are benefiting from supply-chain diversification, while Israel’s technology exports are also on the rise. In the developed world, the US and the Netherlands stand out. The structural consequence of US tariffs, combined with China’s weak domestic demand, are amplifying China’s role in the global supply chain under the „China shock 2.0.“ Unable to sell as much into

Figure 1: Global trade of goods, annual growth in volume, in %



Sources: CPB, Allianz Research

the US, China is redirecting exports through the global south and into Europe at record volumes, causing Europe to be squeezed from both sides: more Chinese imports competing with domestic industry, and fewer US export opportunities due to tariffs.

The effective US tariff rate currently stands at 9.2% and is expected to reach 12% following the implementation of the second Section 301 investigation on overcapacity in October. Export losses are estimated at USD42bn this year, after USD74bn in 2025. We expect tariffs on China at 32%, with potential for lower rates on non-sensitive goods and fewer restrictions as relations are likely to remain stable in the near term. However, the trade war is likely to intensify after the US midterm elections as a shift in Congressional control would place constraints on the administration's domestic policy agenda and push it to rely more heavily on trade tools. On the downside, potential risks could push the average US tariff rate up to 21.3%. The most likely scenarios include higher-than-expected tariffs under the overcapacity Section 301, the opening of a new Section 301 investigation targeting countries accused of transshipment on behalf of China, and continued tensions with Canada following the escalation over the summer. While we do not expect further developments in the near term, the threat of 50% tariffs on Canadian autos remains while USMCA renegotiations progress very slowly. Finally, the EU should also remain watchful, with two main tariff risks: one linked to the global services tax and the other tied to the new US sanctions on Russia, allowing for tariffs on Russian energy importers.

The global fiscal outlook continues to deteriorate at the margin as structural spending pressures – defense foremost – combine with the renewed cost of energy-related support measures. Many governments were initially reluctant to intervene, treating the current shock as transitory; the repeated extension of these „temporary“ measures has instead become a recurring drag on consolidation efforts. Looking at the regions, US fiscal policy is unlikely to turn significantly restrictive amid a likely divided Congress (or a Democratic

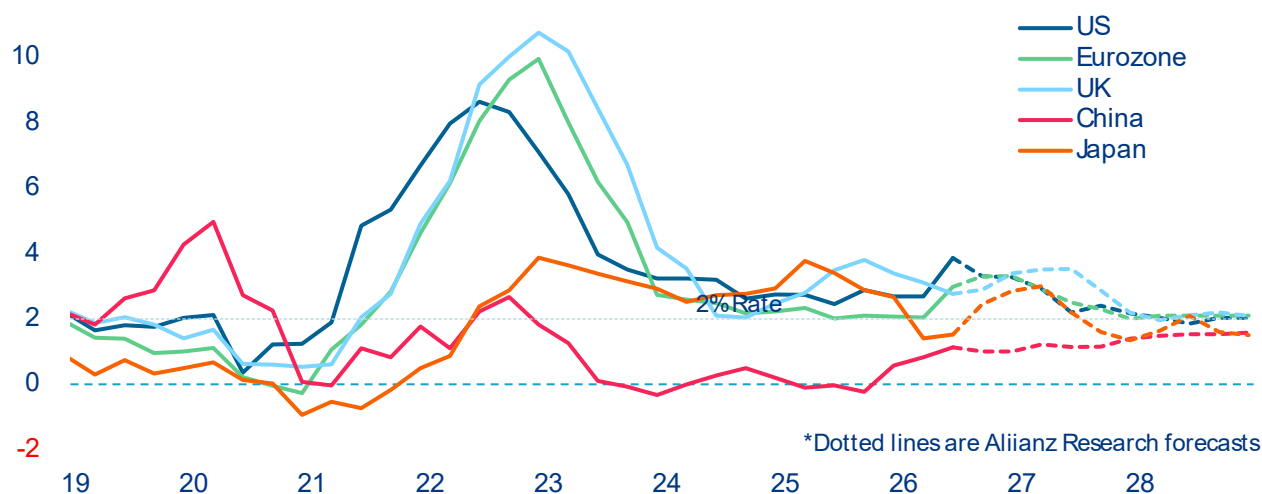
sweep) after the November midterm elections. In this environment, we would expect only limited fiscal consolidation in 2027 and 2028, to the tune of 0.5% of GDP in 2027 and 0.6% in 2028 of structural deficit improvement, relying on a mix of discretionary and social spending restraint and „stealth“ taxation increases. In the Eurozone, political risk is an increasingly relevant input for spread dynamics: With France, Italy and Spain all facing elections in 2027, pre-electoral tax cuts and spending pledges raise the risk of fiscal slippage precisely as consolidation becomes more pressing. Moreover, the phase-out of NGEU disbursements adds a further headwind: As grants are booked as fiscal revenue, their decline mechanically weighs on headline deficits for the bloc's largest beneficiaries (Southern European countries in particular), compounding the loss of investment support at a time when fiscal buffers are already thinning.



Inflation and central banks: More hikes ahead before easing cycle starts in Q4 2027

Inflation rates will remain elevated until the first half of 2027 as indirect effects of elevated input costs filter through core consumer prices. Sharply higher energy prices in 2026 have quickly pushed up fuel inflation in most economies, with gasoline prices reaching historical highs. Meanwhile, utility bills have started to drift up, especially in European countries, as higher wholesale gas prices are gradually being passed through. In Q4 2026, we expect CPI headline inflation at +2.9% in Japan, +3.3% in the Eurozone, +3.4% in the UK and +3.5% in the US, with upwards risks. Higher utility bills should continue through 2027 even if wholesale gas prices start to decline as we expect. Persistently elevated energy and input costs should also increasingly prompt corporates to increase their selling prices to protect their margins. This will filter through to consumer prices, mostly from end-2026 and into 2027. In particular, consumer food prices should accelerate significantly from early 2027. In most developed markets, we expect headline inflation to start

pulling down decisively only from Q2 2027, thanks to favorable base effects on fuel inflation, but core prices will remain sticky. However, high inflation and tighter financial conditions will weigh on growth, which should eventually limit 'second round' effects of higher prices onto wages and corporate profits, while lower oil and gas prices will also help pull down fuel and core prices. In this environment, we see inflation rates normalizing from the end of 2027 and in 2028. We expect headline CPI inflation to reach +2.1% by Q4 2027 in the Eurozone, +2.2% in the UK, +2.5% in the US and +1.4% in Japan.

Figure 2: Quarterly inflation, y/y, %

Sources: LSEG Datastream, Allianz Research

US and Eurozone labor markets are set to cool further into 2027 as slowing hiring meets accelerating AI adoption.

In the US, August's steady headline (+162,000 payrolls, 4.1% unemployment) masks a thinning hiring pipeline: Soft hiring intentions and cooling wage growth point to further pullback ahead, even as layoffs stay contained. In the Eurozone, we expect unemployment to drift only marginally above current lows (6.4%) as vacancies keep falling and wage growth keeps normalizing. The adjustment should keep running primarily through hiring pace rather than job cuts, delaying, not removing, the risk of rising unemployment. Sectoral divergence should also widen, with manufacturing staying under pressure from weak demand and high energy costs while services hold up better. AI adoption adds a further, structural drag on hiring: Firms are increasingly able to absorb demand growth without adding headcount, and with productivity gains from AI

still limited so far, the near-term effect shows up more in slower hiring than in higher output, reinforcing margin pressure into 2027. Our base case remains a gradual, not sharp, deterioration, with buffers thinner than a year ago, and Europe's main vulnerability now industrial rather than energy-driven.

Table 3: Inflation forecasts, yearly, %

Inflation (yearly %)	2023	2024	2025	2026f	2027f	2028f
Global	6.1	4.7	3.8	4.2	3.4	2.7
USA	4.1	3.0	2.7	3.4	2.6	1.9
Latin America	14.8	16.6	7.6	3.8	3.6	3.0
Brazil	4.6	4.4	5.0	4.5	4.3	3.4
UK	7.4	2.5	3.4	3.0	3.0	2.1
Eurozone	5.5	2.4	2.1	2.9	2.5	2.1
Germany	6.0	2.3	2.2	2.7	2.4	2.2
France	4.9	2.0	0.9	2.2	2.2	1.3
Italy	5.7	1.0	1.5	2.7	2.3	2.0
Spain	3.6	2.8	2.7	3.6	3.0	2.2
Central and Eastern Europe	11.1	3.8	4.8	4.3	3.3	2.9
Poland	11.6	3.8	3.8	3.0	2.7	2.6
Russia	5.9	8.4	8.7	6.4	7.0	6.2
Türkiye	53.4	60.0	35.2	31.3	27.3	22.8
Asia-Pacific	3.1	2.2	1.3	2.3	2.2	2.0
China	0.2	0.2	0.1	0.9	1.1	1.3
Japan	3.3	2.7	3.2	2.1	2.0	1.7
India	5.7	5.0	2.2	4.7	5.2	4.2
Middle East	16.6	10.8	14.1	9.4	3.2	2.4
Saudi Arabia	2.5	1.5	2.0	2.1	1.8	1.8
Africa	17.0	15.1	9.1	8.3	10.9	7.2
South Africa	5.9	4.5	3.2	4.4	3.5	3.2

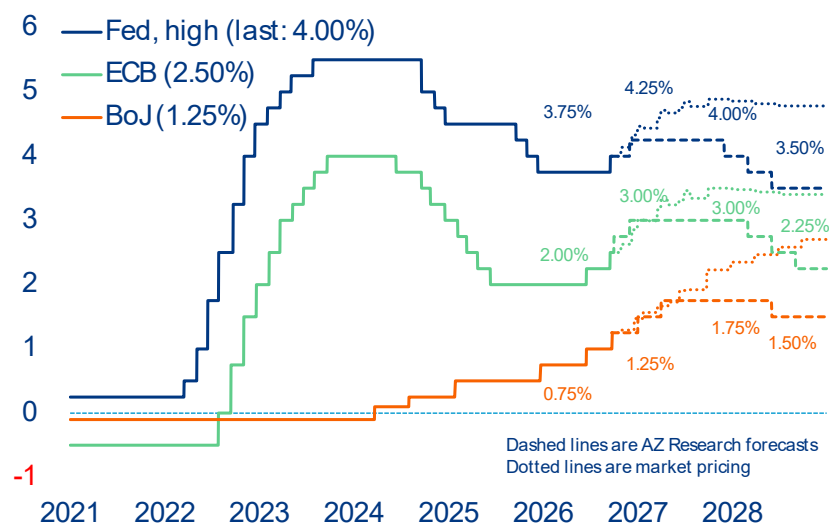
Sources: LSEG Datastream, Allianz Research

We expect the Federal Reserve to deliver one final hike in December, before maintaining a prolonged hold for most of 2027. As we expected in our last economic outlook, the Fed delivered a 25bps interest rate hike at its September meeting. With price pressures expected to remain elevated in the near term, we now see the Fed delivering a follow up hike at its December meeting. With economic activity and the labor market remaining resilient, the Fed will stay vigilant about the risks of second-round effects. However, this hiking cycle should be limited to two rate hikes. For a start, the Fed policy stance is much less loose than in 2021-23, with the real Fed interest rate slightly positive today (vs largely negative in 2021-2023). Second, corporate pricing power is less strong. Back in 2021-23, high and rising margins were widespread across sectors, pointing to an economy running too hot. In contrast, the rise in profits today is much more concentrated in a handful of sectors (ICT, energy, electronics). Thanks to a soft economy, easing supply-chain strains (including for AI) and lower expected

energy costs, inflation should eventually cool down, prompting the beginning of a Fed normalization from December 2027. We expect the Fed policy rate to settle in the 3.25-3.5% bound by mid-2028.

Following the European Central Bank's (ECB) second rate hike this year in September to 2.50%, we expect two further 25bps increases in October and December 2026, taking the deposit rate to 3.00%. The ECB's focus is likely to remain on containing the second-round effects of the Middle-East-related energy shock, particularly as resilient economic activity provides room for further tightening. Thereafter, we expect a prolonged pause through 2027. While inflation is likely to remain elevated in the near term, our assumption of gradually easing oil and gas prices should support a renewed disinflationary trend, with inflation moving back towards target during the second half of 2027. Against this backdrop, we expect the ECB to resume easing in 2028, delivering three 25bps cuts to 2.25%,

Figure 3: Monetary policy key rates, %



Sources: LSEG Datastream, Bloomberg, Allianz Research

the upper end of the estimated neutral-rate range. This would mark a gradual normalization of monetary policy as energy-related pressures fade, while the ECB continues to balance inflation risks against the potential drag from higher borrowing costs on economic activity. Meanwhile, quantitative tightening continues at its full run-off pace of around EUR45bn per month and is expected to continue for the foreseeable future as the stock of holdings is still high. At the current pace it would still take six years to run down the remaining EUR3.2trn of assets sitting in the PEPP and APP program. The annualized balance-sheet reduction equals around 3.3% of GDP and by that exceeds the Eurozone's fiscal deficit of around 3.1%, further reinforcing the net supply pressure on government bonds.

The Bank of England (BoE) is expected to provide two back-to-back rate hikes in November and December as elevated core inflation prompt a response. The BoE has refrained from hiking interest rates so far despite persistently above-target inflation (even prior the Iran crisis). Admittedly, the BoE's policy rate is already elevated at 3.75%, and there is scant evidence of accelerating core inflation. However, the indirect effects of elevated input costs will start to show up soon as corporates will start to increase their selling prices. A surprisingly resilient economy provides further impetus for a likely acceleration of core inflation in the months ahead. The labor market is

loose, but the unemployment rate has stabilized around 5%. In this environment, we expect the BoE to turn more hawkish and deliver back-to-back 25bps interest rate hikes at its November and December meetings, pushing the Bank Rate to 4.25%. We see a beginning of a normalization in November 2027 as inflation pulls back and the economy softens. We expect the Bank Rate to reach 3% by Q3 2028.

The Bank of Japan (BoJ) delivered a 25bps hike to 1.25% in September, accelerating its tightening on the back of resilient activity and firm wage growth despite headwinds from the Middle East conflict. Inflationary pressures have remained contained, in part thanks to government subsidies on energy, with headline inflation near target. However, the pass-through from elevated energy prices should push underlying momentum higher in the near term, with inflation picking up in Q4 to bring 2026 to +2.1%. The yen's slide to 40-year lows over the summer prompted intervention and reinforced the faster tightening path. We expect the next hike in January 2027 and one additional 25bps increase in H1 2027, reaching a terminal rate of 1.75%. With the Fed expected to ease in 2028 and Prime Minister Takaichi set to replace two hawkish board members in mid-2027, we anticipate a first 25bps cut in late 2028.



Developed markets: Growth holding up amid different drivers

US growth is expected to cool off slightly through 2028 as ICT capex growth slows down. We have kept our GDP forecasts at +2.1% for 2026 and +2.0% for 2027. The US economy continues to see multi-speed growth, with ICT capex growth expected to peak at around +18% in 2026, while residential investment is going through another recession year (-3.1% expected) and government spending is soft (+0.6%). Household consumption has eased significantly from 2025 (+2% expected after +2.6%) as stretched consumers are moderating their spending. For 2027, although we expect a similar pace of GDP growth, the drivers will likely change. While inflation is set to cool off, we expect consumer spending to remain soft (+1.8%) as households strive to rebuild their savings. We expect ICT capex growth to moderate, but to keep increasing at a strong clip (+10%). Meanwhile, elevated input costs and tighter monetary policy should constrain overall investment growth. However, residential investment should stabilize at low levels (+0.8%) as housing affordability improves at the margin. Exports growth should moderate (from +4.1% to +2.0%) in line with the cooling down of ICT investment worldwide. Meanwhile, the supply-side of the US economy should continue to remain constrained by weakening demographics offsetting a gradual, AI-related pick-up in productivity growth. We expect GDP growth to be soft in 2028 at +1.8%.

The Eurozone growth outlook remains heavily distorted by Ireland's outsized GDP swings but underlying growth of the region remains solid. Despite accounting for only ~4% of Eurozone GDP, Ireland's volatility skews the aggregate picture. Excluding Ireland, we expect the Eurozone to post stable, decent growth of around +1.3% over 2026–2028. Renewed geopolitical tensions have driven a surge in energy prices, making inflationary pressures more persistent; we have revised our inflation forecast up to +2.9% this year and +2.5% y/y in 2027 (from +2.7% and +2.0% in our July outlook), before converging towards the +2% target in 2028. European gas prices are climbing as the region races to refill storage; the resulting macro risk looks contained for now, but poses a threat to the activity outlook in coming quarters, which has otherwise proved resilient in recent months. As prices climb, European firms plan to pass higher input costs on to consumers. Providing some offset, Germany's updated outlook lends support – defense and infrastructure stimulus is delivering near-term tailwinds – while Southern Europe continues to benefit from a stronger H1 and final NGEU inflows.

Germany: External headwinds persist but the fiscal boost creates resilience. Elevated energy prices remain a headwind for real disposable income and consumer sentiment. The government's fuel rebate will provide only partial relief, meaning household consumption should remain lackluster. However, business surveys and trends in high-frequency industrial data suggest that after some temporary weakness in Q3, a recovery in capex is underway. Overall, fiscal stimulus will continue to boost growth, offsetting structural headwinds from the second China shock – exports may even begin to recover cyclically. We expect GDP to grow by +1% this year and +1.2% and +1.1%, respectively, in 2027 and 2028. Improved growth should allow for a gradual firming up of the labor market over the next two years.

France's GDP growth is expected to remain weak amid external headwinds, tight macro policies and policy uncertainty. We have maintained our GDP growth forecast of +0.5% for 2026. Domestic demand has taken a hit from elevated input costs and rising interest rates, with both business and residential investment both set to contract. The industrial sector has fared better, thanks to strong demand in some sectors (transportation, electronics, machinery) but high energy costs are a growing headwind. Heading into the 2027 elections, policy uncertainty could rise, keeping investment subdued. Interest rates should remain elevated and fiscal policy tight. On the positive side, consumer spending has shown signs of improving despite higher inflation as households seem more eager to reduce their high savings. We expect GDP growth to accelerate only modestly to +0.9% in 2027 and +1.1% in 2028.

Italy's activity resilience has surprised on the upside in recent quarters, posting modest but steady growth (+0.2–0.3% q/q over the last year). Private consumption continued to support growth despite surging inflation (which reached +3.3% y/y in August). Buoyant investment has also been supported by the large inflow of NGEU funds – Italy has now received 85% of the funds (out of the EUR194bn allocated), easing earlier concerns about administrative capacity to absorb such a large volume of resources. On the back of a stronger H1, but cautious of rising headwinds and the end of NGEU disbursements in December, we have upgraded our forecast to +0.9% this year (up from +0.7% in 2025) and expect growth to settle around +0.8% in 2027–2028. With the fiscal deficit confirmed at -3.1% of GDP in 2025 (primary balance at +0.8% of GDP), the country remains under the Excessive Deficit Procedure. Bringing the deficit below 3% could have allowed for bigger spending in the 2027 budget, providing a boost to the current government's pre-electoral campaign.

Spain's growth does not seem to be slowing. We expect GDP to grow by +2.5% in 2026, before stabilizing below +2% in 2027–2028. Spain's outperformance remains a defining story within the Eurozone; average quarterly growth over the last six quarters has been +0.7%, versus a Eurozone average of +0.3%, with private consumption and services exports as the main drivers. Inflationary pressures have reignited strongly, with price growth set to average well above +3% this year. The labor market has been a bright spot, although immigration-driven regularization muddies the true picture behind the headline job growth. On the political front, Prime Minister Pedro Sánchez intends to run for re-election in 2027, but continued scandal and turmoil have left the opposition PP leading the polls, raising the risk of a snap election and a conservative government before then.

The UK has held up well against external headwinds but tighter financial conditions and higher inflation should keep growth capped. We have revised up our 2026 GDP growth forecast significantly to +1.3% (+0.3pp). Households have kept spending at a decent pace by reducing their savings rate, while business investment has maintained a healthy pace. The manufacturing sector has rebounded from 2025 with noticeable improvements in machinery and electrical equipment, while aerospace continues to power ahead. In 2027 we expect slightly lower GDP growth (+1.2%). Tighter financial conditions induced by higher market interest rates and (expected) policy rates should soften investment growth and keep residential investment weak. We also forecast GDP growth at +1.2% in 2028 as the UK economy remains constrained by weak supply side (including softening demographics).

Japan delivered strong Q2 growth at +1.4% y/y despite geopolitical headwinds and elevated energy costs. We forecast +0.9% GDP growth in 2026, supported by AI-linked exports and investments, and relatively resilient domestic demand. Fiscal policy remains expansionary under the Takaichi administration, with multi-year budgeting aimed at balancing stimulus with longer-term sustainability. We expect growth to edge to +1.1% in 2027 supported by the continuation of the global AI cycle, before moderating to +1.0% in 2028 as tighter monetary policy and a fading fiscal impulse weigh on activity. We expect inflation to average +2.1% in 2026, breaching the BoJ's target in Q4 on Hormuz pass-through and food inflation, before reaching +2.0% in 2027 and 1.7% 2028.



Emerging markets: Tailwind from exports, mainly thanks to AI and rerouting

China's economy lost momentum in Q2, with GDP growth decelerating to +4.3% y/y as the oil shock from the Middle East conflict and persistently soft household spending weighed on activity. Nonetheless, we maintain our 2026 forecast at +4.7%, anchored by robust export performance, while structurally elevated savings rates and depressed consumer confidence remain the primary drag on the domestic economy. We forecast GDP growth at +4.5% (+0.1pp) in 2027 as the global AI cycle continues to support the external sector. In 2028, while the export contribution should fade as the AI cycle matures, we expect the real estate downturn to come to an end, gradually restoring household confidence and marking a pivot in domestic consumption, bringing growth to +4.3%. We forecast inflation at +0.9% this year as inflationary pressure should moderate into year-end. We expect a gradual normalization thereafter, supported by two cuts from the People's Bank of China (PBoC) in 2027, with inflation rising to +1.1% in 2027 and +1.3% in 2028 as the recovery in domestic demand progressively ends China's deflationary episode.

In the Middle East, divergence continues, with Qatar, Kuwait and Bahrain most exposed to conflict volatility, keeping their real economies mostly at a standstill. GDP contraction figures are high: -14% y/y for Qatar, -10% for Kuwait and -8% for Bahrain. The latest attack on Saudi Arabia's pipeline brings the war back to Riyadh, with a GDP contraction estimated at -2% y/y. Meanwhile, the UAE and Oman remain more resilient as their Strait of Hormuz bypasses allow for exports to continue, even if at reduced speed. In 2027, a substantial rebound is expected, especially for the Hormuz-exposed economies. The renewed tightening cycle, on top of the ongoing energy shock, is exposing fault lines across the EM space depending on the intensity of energy imports and exposure to the USD, causing several countries to increase rates. Most exposed are a group of Sub-Saharan Africa and South-Asian countries, but EMs across the globe are exposed to the ongoing risks.

We forecast growth in APAC at +4.4% y/y (+0.1pp), with 25% of it attributable to the AI investment cycle. However, this masks significant divergence across countries.

While Taiwan, South Korea, Malaysia, Thailand and Singapore are the primary beneficiaries, with roughly 60% of their growth tied to AI-related activity – largely channeled through exports – Indonesia and the Philippines remain the region's laggards, having undergone the most aggressive tightening cycles, given their exposure to the Hormuz aftermath and domestic political difficulties, headwinds now compounded by El Niño effects on food supply and prices. On the central bank front, we see India joining South Korea in a tightening cycle in Q4, while we expect Indonesia and the Philippines to remain on hold, though both central banks will remain highly reactive to Middle East developments, energy and food inflation and FX depreciation.

Looking ahead, we expect rates in the region to remain unchanged until Q4 2027, when we forecast Indonesia and the Philippines to enter an easing cycle.

In Africa, a deceleration is taking place from +4.5% y/y in 2025 to +4% y/y in 2026, and then a slight further deterioration to +3.9% in 2027. The major risks include inflation pressures from food and hydrocarbons and global liquidity tightening. Senegal remains one of the most exposed due to its high levels of debt that were misreported by the former administration. It is the latest nation to reach a deal with the IMF and is set to begin a restructuring process with international bond holders. Ghana, which already went through a restructuring process in 2023-2024 following the Ukraine crisis, also remains highly exposed to the current crisis as inflation levels have remained elevated for several years. A

second layer of exposure linked to energy imports and USD-exposure is identified in Kenya, and three northern Africa nations: Egypt, Morocco and Tunisia. The largest African economies, Nigeria and South Africa, remain exposed to the current shocks but are relatively shielded. Nigeria, historically a crude exporter, has benefited from reforms that allowed for the free-float of the Naira and is now benefiting from new oil refined exports. South Africa is the only major African economy to have raised rates (+25bps) and is expected to raise again during Q4 2026 due to its exposure to energy imports, as well as its orthodox central bank aiming to reduce structural inflation. However, recent structural reforms have also supported resilience.

CEE growth proved resilient in the first half of the year despite weak external demand, geopolitical tensions and the renewed energy shock, with domestic demand remaining the main engine of activity.

Resilient labor markets, positive real wage growth and still-solid consumption supported activity across most economies, while investment increasingly contributed in Poland, Czechia and Slovenia. We forecast regional GDP growth at +2.1% in 2026, accelerating to +2.4% in 2027 and +2.7% in 2028 as external demand gradually improves. Romania remains the clear outlier, with fiscal consolidation, falling real wages and weak consumption pushing the economy into recession in the first half of the year, while large fiscal and current account deficits add to its vulnerability. Inflation has remained relatively contained across most of CEE, but the balance of risks is increasingly tilted to the upside. We forecast regional inflation at +4.3% in 2026, easing to +3.3% in 2027 and +2.9% in 2028. Food prices have provided important relief, declining recently across Czechia, Poland, Slovakia and Hungary, but drought, extreme weather and higher global food prices could reverse this trend in the second half of the year and into 2027. Energy prices, persistent services inflation and wage pressures remain additional risks. Against this backdrop, we expect most central banks to remain on hold for longer, with the risk increasingly skewed toward renewed tightening rather than further near term easing. In Türkiye, growth has decelerated markedly, with GDP expanding just +2.3% y/y in Q2 2026, as persistently high inflation, running at +32% through Q3 and projected toward +30% by year-end, continues to compress consumer demand, erode trade competitiveness and squeeze corporate margins. We forecast growth at +2.7% for 2026, with a rebound toward +3.6% in 2027 conditional on inflation following a convincing downward trajectory, which would allow the Central Bank of the Republic of Türkiye (CBRT) to embark on a more meaningful easing cycle from the current 37% policy rate.

Across Latin America, fiscal consolidation remains a binding constraint, limiting the scope for countercyclical stimulus and requiring central banks to proceed cautiously with monetary easing, balancing the need to support activity against the risk of reigniting inflationary expectations. We forecast moderate GDP growth of +2.3% in 2026, accelerating to +2.7% in 2027, in both years trailing the global average by -0.3pp and -0.1pp respectively, as the region continues to face structural constraints on potential output. Brazil's economy has been losing momentum through the first half of the year, with the government recently downgrading its 2026 growth forecast, weighed down by weaker services and industrial output even as the agricultural sector provides partial offset. The BCB has delivered five consecutive rate cuts, bringing the Selic to 13.75%, but above-target inflation and persistent global price pressures are likely to cap the pace of further easing. Mexico has effectively concluded its easing cycle after Banxico cut to 6.5% in May as low growth (+1.3% y/y forecast for 2026, accelerating to 1.8% in 2027) coexists with still-elevated external risks, particularly from trade policy uncertainty and USMCA negotiations, which are leading to prolonged front-loading dynamics across sectors and is bringing about a structural shift in the goods exported to the North – from the automotive sector to those related to the AI transition. Central American countries, such as Costa Rica, Dominican Republic, Guatemala and Panama remain relative outperformers, supported by financial flows, tourism and commodity prices, but El Niño risks could affect 2027-2028 prospects in the area as well as in Andean countries. Chile, Ecuador and Peru have already seen flooding and logistics interruption. Colombia faces a more challenging adjustment path amid tighter financial conditions and spending-fueled GDP growth.



Corporates:

From energy shock to rate shock

Corporate earnings remain resilient, but the breadth of growth is narrowing sharply and sectors divide into three very different clusters. Momentum is increasingly concentrated in AI, defense and energy, while most of the cyclical sectors remain under pressure. In the US, revenue growth reached +15.2% y/y, the strongest pace since Q2 2022. Semiconductors have been the principal engine, supported by the AI investment super cycle, while energy companies have benefited from higher oil prices. Europe has posted similarly robust headline growth at +11.2%, but the underlying picture is even more concentrated: energy, defense and semiconductors account for most of the increase. Corporate performance is therefore no longer moving broadly in sync. Instead, earnings are increasingly bifurcating around three distinct sets of exposures. The first is an AI-linked cluster spanning semiconductors, software and IT services, and telecom infrastructure. These sectors are capturing a disproportionate share of current earnings momentum as capital expenditure continues to flow into computing capacity, data infrastructure and digitalization. The second is a group of traditionally defensive sectors whose resilience increasingly depends on the nature of their underlying risks. Pharmaceuticals continue to benefit from patent protection, relatively strong pricing power and less cyclical demand. Agrifood enjoys similarly structural demand but is more exposed to climate volatility and trade disruption. Energy, meanwhile, is benefiting directly from elevated oil prices, providing a near-term earnings tailwind even as geopolitical risks

increase uncertainty elsewhere in the economy. The third cluster comprises the more traditional cyclical sectors – autos, construction, machinery, textiles and transport equipment. Here, pricing power is thinner, tariff exposure is more direct and financing costs remain restrictive. These companies are therefore absorbing more of the downside from both weaker demand and a structurally higher cost of capital.

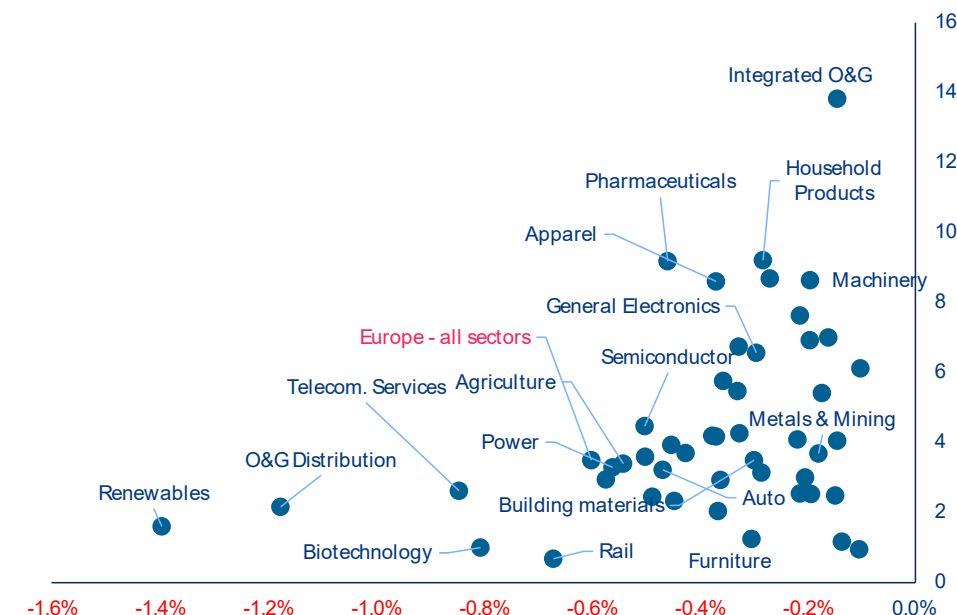
The Iran conflict has moved from an energy shock to a rate shock. The disruption around the Strait of Hormuz has sharpened the divergence in industrial cost structures, nowhere more visibly than in European chemicals and other energy-intensive industries. European producers were already operating at a structural disadvantage, paying a premium for feedstock and power relative to competitors in the US and Middle East. The result is an accelerating reallocation of production towards cost-advantaged capacity. Higher-cost European plants that are idled today are increasingly unlikely to return once conditions improve. This points to a continuation of the regional reshuffling of industrial production that began with the 2022 energy shock, rather than a conventional cyclical downturn that will simply reverse as demand recovers. In other words, part of the adjustment is becoming structural. The second transmission channel runs through interest rates. Persistent geopolitical tensions, higher energy prices and greater fiscal demands are reinforcing

pressure on borrowing costs just as many companies face refinancing needs. The impact on profitability is material. We estimate that a 50bps increase in the average interest rate on corporate debt would reduce the net margin of non-financial corporations from 9.0% to 8.6% in the US and from 6.6% to 6.2% in Europe, *ceteris paribus*. With a 100bps increase, margins fall further to 8.4% and 6.0%, respectively – a compression of roughly 0.6pp or 60bps in both regions. The burden is not evenly distributed. Exposure to higher rates is concentrated in capital-intensive, real-asset sectors with large debt stocks and persistent refinancing requirements. Under a 100bps shock, the net margin of US utilities falls from 19% to about 17%, while interest coverage declines from 3.1x to 2.4x. For European utilities, margins fall more sharply, from 10% to 7%, and coverage drops from 2.0x to 1.5x. US telecoms also see interest coverage fall substantially, from 4.5x to 2.8x, compared with a decline from 2.0x to 1.7x in Europe (see Figure 4). The implication is that the next phase of pressure on corporate margins may come less from the initial energy shock itself than from its second-round effects on financing conditions. Companies that entered this period with high capital intensity, limited pricing power and large refinancing needs are therefore increasingly exposed to a combination of weaker operating leverage and higher debt-service costs.

The corporate response is increasingly one of balance-sheet and industrial-footprint adjustment rather than conventional cyclical hedging. That is consistent with companies treating both the higher-rate environment and the emerging tariff architecture

as durable features of the operating landscape rather than temporary shocks. Automakers are shifting the focus of margin defense away from unit growth and towards cost reductions, platform simplification and lifecycle revenues. Chemicals groups are accelerating capacity rationalization and redirecting investment towards structurally advantaged geographies rather than waiting for the cycle to turn. Metals producers, meanwhile, are maintaining capital discipline even as electrification-related demand increasingly strains available supply. These strategies have a common objective: preserving cash generation and balance-sheet capacity through a period in which neither demand nor financing conditions can be assumed to normalize quickly. The emphasis is therefore moving from maximizing volume growth to protecting returns on capital, liquidity and strategic flexibility. This also exposes a growing asymmetry in how markets are pricing corporate risk. The upside associated with the AI-linked cluster is being capitalized immediately through stronger earnings expectations and investment flows. By contrast, the downside from higher energy costs, tariffs and interest rates is concentrated in the other two clusters – and particularly in Europe, where structural energy disadvantages, weaker pricing power in parts of industry and greater sensitivity to external trade shocks compound the effect. The result is not simply a divergence between sectors, but a widening gap between companies able to fund structural growth and those forced to manage structural adjustment. That distinction is likely to matter increasingly for margins, investment and corporate balance sheets going forward.

Figure 4: Change in net profitability vs interest coverage ratio after a 100bps shock for European firms

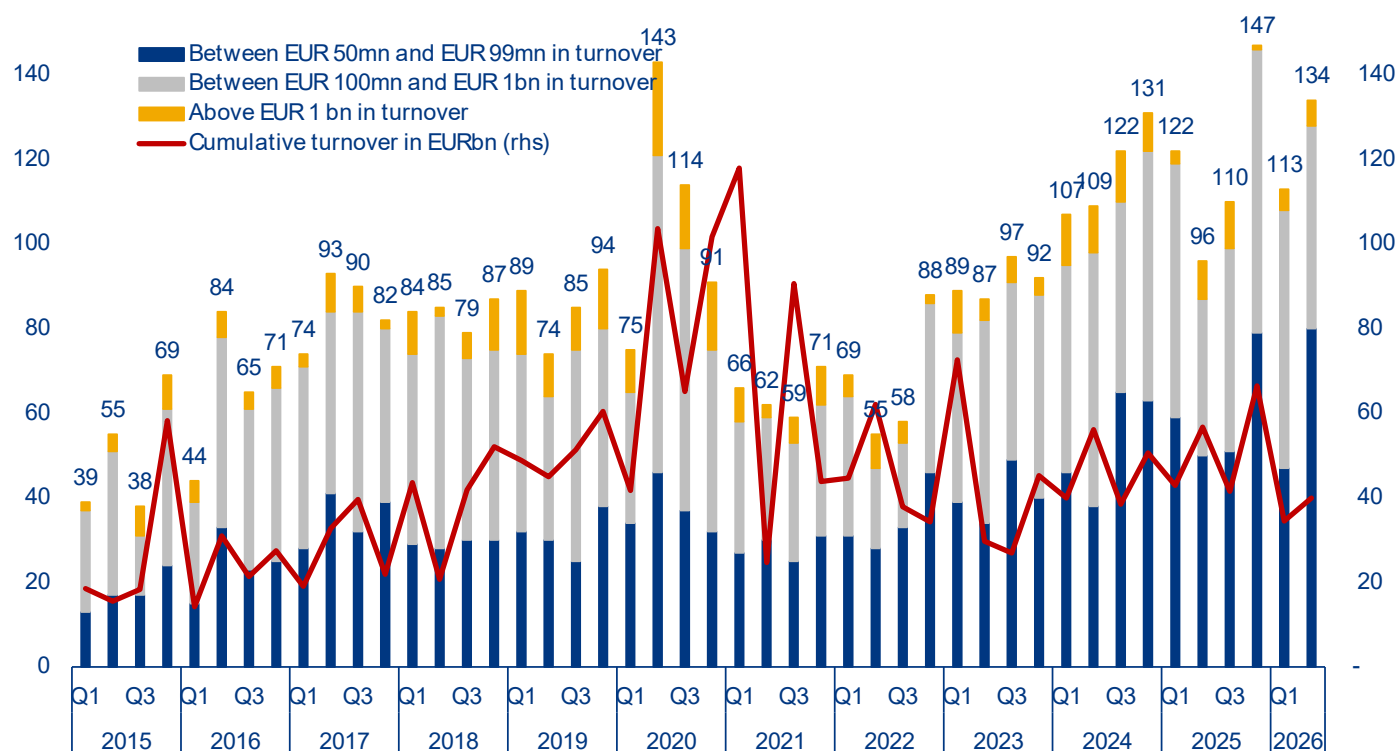


Sources: LSEG Datastream, NYU, Allianz Research

Global business insolvencies are running +6% above year-ago levels year-to-date, extending what is now the sixteenth consecutive quarter of y/y increases and leaving levels across most markets well above pre-pandemic norms. Among the largest economies, the US leads with a +19% surge, followed by Japan (+7%), Germany (+7%) and France (+5%), while the UK (-5%) and China (0%) are the notable exceptions. The strain is especially visible at the top end of the corporate spectrum: Insolvencies among firms with turnover above EUR50mn hit 134 in Q2 2026, the third-highest quarterly tally on record, bringing the count for the first half of the year to 247 cases (+13% y/y), with Western Europe accounting for nearly two-thirds of the total and industrial sectors such as chemicals, automotive and machinery equipment showing the sharpest deterioration. Insolvencies are projected to rise by at least +4% globally for the full year 2026 (the fifth consecutive year of increases) before a tentative stabilization in 2027. North America is set to be the largest regional contributor, with US filings forecast at +7% but a candidate for upside revision given strong first-half momentum; 27 countries

are already tracking above our full-year projections. In Western Europe, the expected +2% increase in 2026 would be followed by a modest -3% decline in 2027, but nine out of 17 markets are forecast within the -4%/+4% range, pointing to quasi-stable insolvency levels that remain historically elevated. Asia will see contrasting trends, with most countries prolonging their rise, except Australia, Singapore and Hong Kong. The full impact of the Middle East shock has yet to feed through corporate income statements: higher input and shipping costs, weak(er) consumer sentiment, elevated selling-price expectations and higher-for-longer interest rates all point to persisting margin pressure in the coming quarters, in particular for medium, small and very small firms. Highly leveraged sectors are particularly vulnerable as debt-servicing costs compound the profitability squeeze, suggesting greater differentiation across countries and industries depending on their exposure to war-related spillovers and, conversely, their ability to benefit from global tailwinds such as AI and defense spending.

Figure 5: Major insolvencies, quarterly number, by size of turnover



Source: Allianz Trade



Capital markets outlook: Cruel (bond) summer coming to an end

Capital markets had a difficult summer as the energy shock and renewed inflation concerns pushed government bond yields sharply upwards to multi-year highs. Equities proved more resilient: Strong earnings and AI-related investment kept returns positive despite rising rates, while credit spreads remained close to historical tights, supported by solid corporate results. In currencies, EURUSD stayed broadly range-bound, while emerging-market assets benefited from improving fundamentals but now offer less spread compensation. Private markets are becoming more selective: Private equity remains constrained by a record exit backlog, private debt continues to deliver attractive income despite pockets of stress, infrastructure is benefiting from the AI buildout and real estate faces renewed refinancing pressure. Looking ahead, we expect the summer repricing to prove orderly rather than the start of a broader market break. As the energy impulse fades in our baseline outlook, we see scope for gradually declining long-term rates, while equity returns should moderate as valuations normalize.

The summer selloff in long-term rates had three synchronized drivers: the feedback loop between energy prices and policy rate expectations, firmer economic activity and a higher term premium. The repricing of the rate path was the strongest driver. The term premium was the swing factor capturing supply-demand imbalances emerging over summer in a government bonds market that is moved at the margin by price-sensitive, leveraged investors that react to tighter funding conditions. Firmer economic activity on either side of the Atlantic acted as underlying upside trend. But we think US late-cycle dynamics will resume in 2027 as the energy impulse fades and growth returns to potential. Markets will price rate cuts. Long-term rates will anticipate lower growth, bringing 10y yields to 4.5% in 2027 and 4.3% in 2028. The US term-premium rebuild looks largely complete and is actively contained by Treasury operations (buybacks and active Treasury issuance). The hawkish Fed turn should itself re-anchor the long end by restoring inflation-fighting credibility.

Table 4: Capital market forecasts

EMU	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
ECB deposit rate	2.50	%	4.00	3.00	2.00	3.00	3.00	2.25
10y yield (Bunds)	3.61	%	2.03	2.36	2.85	3.30	3.20	3.00
10y EUR swap rate	3.64	%	2.48	2.39	2.93	3.30	3.10	2.90
20y EUR swap rate	3.60	%	2.51	2.39	3.23	3.30	3.10	2.90
Italy 10y sovereign spread	95	bps	168	117	65	80	80	70
France 10y sovereign spread	110	bps	53	83	71	100	70	70
Spain 10y sovereign spread	46	bps	97	70	44	40	40	30
Corporate Debt								
Investment grade credit spreads	84	bps	135	101	78	80	85	85
High-yield credit spreads	277	bps	395	311	270	280	300	295
High-yield credit spreads ex-CCC	229	bps	333	239	219	225	240	240
Equity								
Eurostoxx (total return p.a.)	11 ytd	%	19	10	25	15	9	8

US	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
Fed Funds rate (high)	4.00	%	5.50	4.50	3.75	4.25	4.00	3.50
10y yield (Treasury)	5.19	%	3.87	4.57	4.16	4.70	4.50	4.30
Corporate Debt								
Investment grade credit spreads	79	bps	104	82	79	85	90	90
High-yield credit spreads	280	bps	334	292	281	290	315	310
Equity								
S&P 500 (total return p.a.)	14 ytd	%	26	25	18	14	8	8

UK	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
BoE rate	3.75	%	5.25	4.75	3.75	4.25	4.00	3.00
10y yield sovereign (Gilt)	5.39	%	3.54	4.57	4.47	5.00	4.80	4.40
Corporate Debt								
Investment grade credit spreads	84	bps	134	91	80	85	90	90
High-yield credit spreads	424	bps	515	364	420	425	405	380
Equity								
FTSE 100 (total return p.a.)	10 ytd	%	8	10	26	8	8	8

Emerging Markets	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
Hard currency spread ex-CCC (vs USD)	164	bps	215	202	163	170	175	185
Local currency yield	6.47	%	6.19	6.39	5.87	6.30	6.20	6.20
Equity								
MSCI EM (total return p.a. in USD)	26 ytd	%	10	8	34	31	12	7

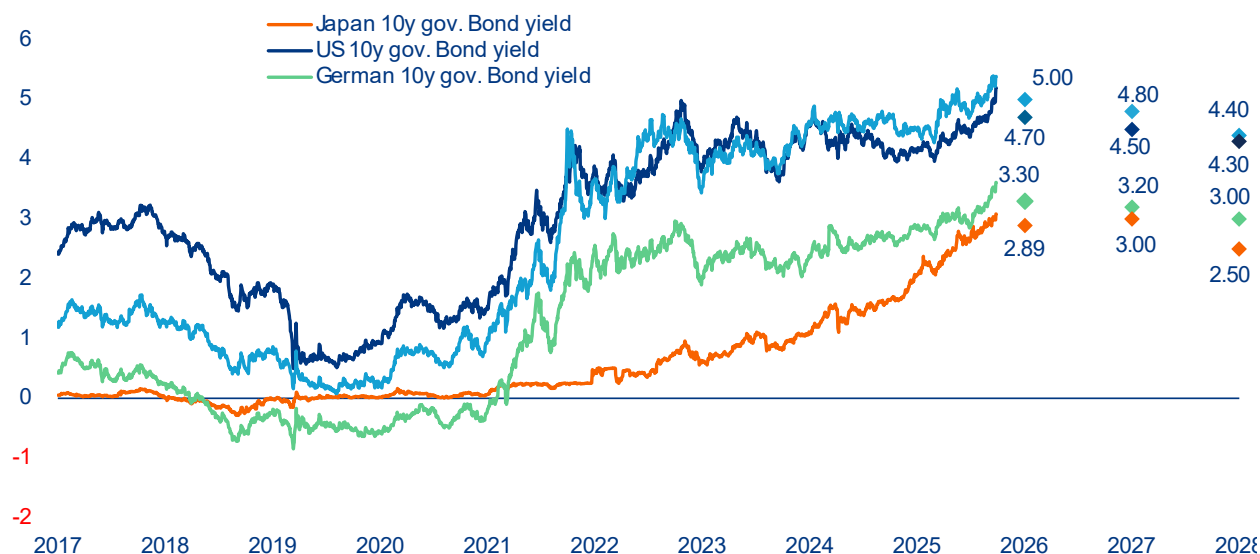
FX & Commodities	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
EUR USD	1.14	\$ per €	1.10	1.04	1.17	1.16	1.17	1.18
Oil (Brent)	107	\$ per bl	78	75	61	87	70	71
Natural gas (Dutch TTF)	76	€ per MWh	32	49	28	65	35	30

Sources: LSEG Datastream, Bloomberg, Allianz Investment Management

Notes: Year end figures

* As of 24.Sept 2026

Sources: LSEG Datastream, Allianz Research

Figure 6 : 10y government bond yields including forecasts, %

Sources: LSEG Datastream, Allianz Research

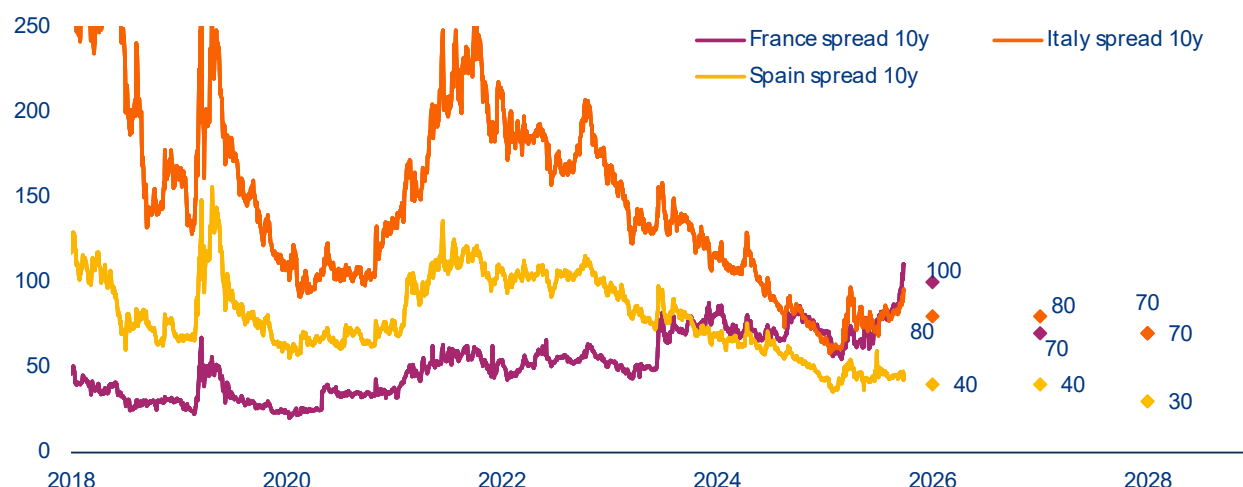
The Eurozone sits earlier in the cycle. But its growth impulse is moderate and there is no overshoot above potential to justify holding policy above neutral for long. We see markets pricing a reversal in mid-2027, easing German 10y yields to 3.2% in 2027 and 3.0% in 2028. Both curves bear-steepened through the summer. We now see potential for further steepening, especially in the Eurozone where the market-priced policy path is most excessively tight. In both markets, the belly is the sweet spot on a six to twelve month horizon. It captures some of the policy-driven decline, stays supported by economic activity and carries less term-premium risk than the long end. At current levels, intermediate maturities show the best combination of positive real returns and convexity.

Within the Eurozone the risk premium now sits in France rather than Italy or Spain. The OAT-Bund spread reached highest value since the Euro crisis (around 100bps) as markets began pricing a scenario in which the new president (election in April/May 2027) will struggle to gain a majority in the parliament, creating further fiscal uncertainty. The near-term risk stays skewed wider, and 130bps is reachable if political fragility deepens to levels not yet seen. BTP spreads stay contained, but the tightening impulse is missing as NGEU support fades, and upcoming elections are an upside risk we would treat as temporary. There is no systemic fragmentation risk within

EGBs as yield movement remain synchronized. Political fragility, not market fragmentation, will be the theme of the coming months.

EURUSD traded within a relatively narrow range of 1.14 to 1.18 during the last quarter, largely continuing the pattern observed in previous quarters. Traditional drivers such as the expected interest rate differential and valuation metrics suggest that this range-bound behavior is likely to persist. Within this range, short-term exchange rate movements were primarily driven by developments in the US, whereas events such as the recent German elections had only a limited impact on the currency pair. We expect this pattern to continue. With the US midterm elections likely to increase political uncertainty, we believe EURUSD could move closer to the upper end of its recent trading range by year-end.

Equity markets: the 2026 earnings boost gives way to normalization. Equities have held up through the summer oil shock, leaving year-to-date total returns at +13% in the US and +10% for Europe. Earnings did the work: 12-month forward EPS growth runs near +20% in the US, +16% in the EMU and above +30% in EMs. But valuation dispersion is the widest in a decade: The US trades at 19.4x forward earnings against a 20-year average of 16.6x; the Eurozone at 16.4x and EM at 9.9x. Valuations argue for selectivity rather than retreat: Earnings should keep delivering the equity risk premium,

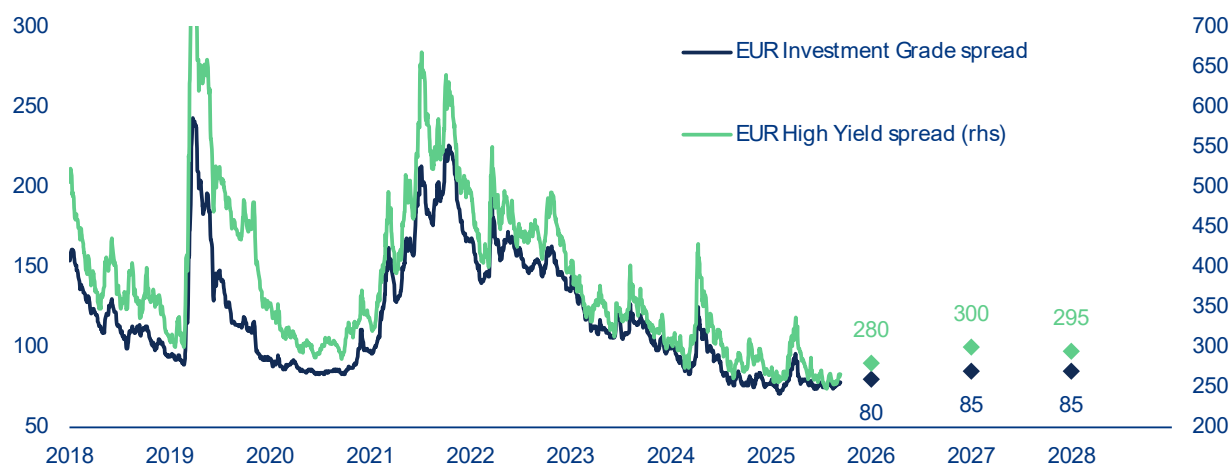
Figure 7: Yield spreads vs 10y German bund yield including forecasts, %

Sources: LSEG Datastream, Allianz Research. Note: For France and Italy we forecast the same spread at 70 for 2028.

but with PEs above average in the US and Japan, we expect the valuation premium to deflate there as growth slows and macro risks rise, while Europe and EMs – where expectations are lowest and the downside most discounted – offer similar earnings sensitivity at a lower price. We stay constructive on equities and expect Q4 to consolidate rather than extend the rally, with returns converging towards the long-term equity risk premium as multiples normalize. At year end, full-year 2026 total returns should reach +14% for the US and +15% for the Europe, before a more normal year in 2027 with +8% and +9%, respectively. Double-digit EPS growth carries the forecast (US: +32%/+16%/+16% over FY1-FY3; Eurozone: +22%/+12%/+12%). US earnings revisions (+7.1% since July) outrun nominal GDP only thanks to technology, ~30% of the index; ex-tech, the S&P 500 tracks the economy, so the market carries the downside if AI capex or monetization disappoints – growth, not inflation, is the risk. Eurozone consensus prices +14.7% EPS growth off +4.6% nominal GDP, but macro upgrades, lower valuations and already negative sentiment support it, while Japan looks hyped after a +20%. With positioning crowded and implied volatility below average, convertibles and hedges are compelling to retain equity and earnings upside while tailoring the downside to

tolerance.

Credit markets have remained broadly resilient through 2026, with spreads holding near the tight end of their long-term range. In investment grade (IG), upgrades continue to outnumber downgrades, though the net upgrade trend has slowed from its 2025 peak. Solid growth is offsetting the higher interest burden, holding credit metrics: Interest coverage went below its long-term median but stabilized above 6x in the US and 8x in Europe, while net leverage remains near cycle highs. In high yield (HY), global default rates have stabilized, albeit at a level still above their long-run average. The market has differentiated, reflecting tight spreads yet above-average default rates: BB and B credits have outperformed, supported by high carry and fading recession risk, while CCC spreads remain elevated and are likely to stay so as the weakest issuers face the highest refinancing costs in a higher-for-longer rate environment.

Figure 8: European corporate credit spreads including forecasts, bps

Sources: LSEG Datastream, Allianz Research

In the US, earnings growth and supportive technicals have underpinned the market, though heavy technology issuance is drawing investor attention. IG gross supply reached nearly USD1.5trn year-to-date, up 30% on 2025, while net issuance almost doubled. Demand has moderated from the high of the start of the year, but new issuance book coverage above 3x suggests the market can still absorb a sizeable calendar. With technology set to account for around a quarter of new issuance through 2026, its share of the IG index could rise towards 15% in 2030. Heavier supply against adequate demand argues for drift rather than dislocation: We expect US IG at 85bps by end-2026 and 90bps in 2027–28, with HY at 290bps, 315bps and 310bps. Euro credit is comparatively insulated from this technology concentration and offers a diversification option. Technology represents only 3% of the Euro IG index, which should limit spillovers from tech-specific volatility. Current tight spreads are driven by ‘yield’ demand, and are likely to continue in a higher-for-longer rates environment. However, increasing rate volatility started to weigh on spreads in the near term. We see EUR IG at around 85bps in 2027–28 and HY at approximately 300bps and 295bps.

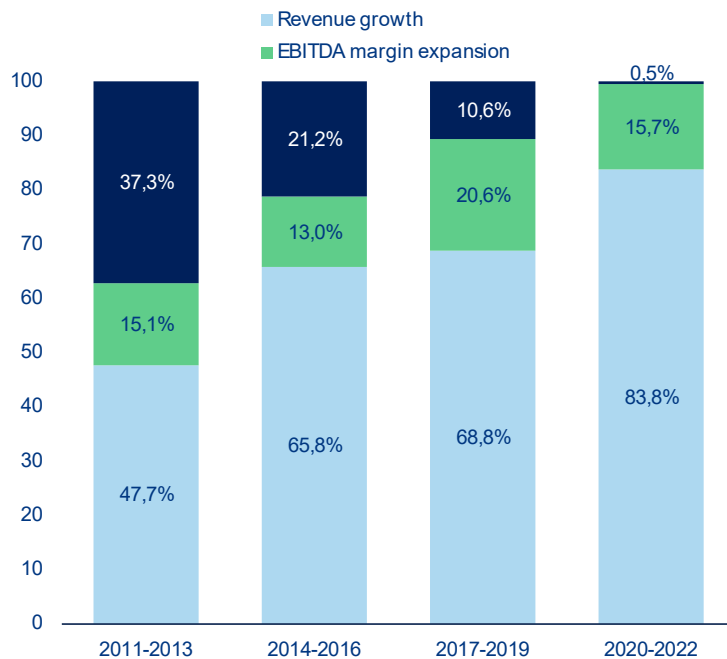
Emerging markets remain resilient to global shocks.

However, the path for EM sovereign spreads is asymmetrically skewed towards widening, while energy volatility and Fed hiking remain the drivers for EMs locally. EM fundamentals continue to strengthen, with sovereign rating trends clearly shifting toward upgrades, supported by successful debt restructurings, IMF-backed policy discipline and improving monetary policy credibility across the asset class. The structural growth premium that EMs hold over developed markets remains intact and is expected to widen further, supporting debt sustainability and increasing the resilience to higher energy prices and US rates volatility. Robust fundamentals, combined with sustained investor inflows, have pushed EM sovereign spreads to multi-year tight levels, compressing the rating-adjusted spread premium versus US corporates close to negative territory. From current multi-year tight levels, spreads are expected to widen modestly by year-end. With spreads offering limited additional pick-up, EM local-currency assets appear relatively more attractive at current yield levels. Given their correlation with US Treasury yields and the ongoing EM central bank cycle, yields are expected to move broadly sideways, reaching 630bps by year-end. While valuations look more compelling in local currency markets, the recent environment is less favorable as Fed policy expectations and oil-price volatility remain the key drivers of local currency performance.

EM equities are the cheapest way into the AI value chain. Consensus EPS growth of +72%, +23% and +10% over FY1-FY3 is driven by semiconductors, and AI supports around a quarter of Asian growth. Yet the market still prices EM semis at a discount to US peers: Their combined USD4trn market capitalization is below Nvidia alone, and technology weighs 21% in MSCI ACWI, of which only 3.5% is for EM semis – despite their crucial role and early monetization. SK Hynix and Samsung trade near 4x PE, with new long-term contracts extending the outlook and securing payback, whereas US semis command three times the multiple for twice the growth. The cycle has limits: We estimate AI capex to be roughly halfway through and expect it to peak above USD1trn in 2028, when normalizing returns on equity would imply a 20-45% PE discount that our target already anticipates. We forecast MSCI EM total returns of +31% in 2026, +12% in 2027 and +7% in 2028 – ahead of developed markets next year, fading only as the semiconductor cycle matures.

Across the USD16.7trn private capital industry, two forces are doing most of the sorting. Rates, having risen sharply again on both sides of the Atlantic rather than easing as underwritten, are pushing financing costs back toward levels many portfolios were not built for, and AI is rewriting which businesses deserve a premium and which do not. Each corner of private capital wears this pressure differently. Private equity is stuck at the exit, sitting on a record backlog of unsold companies as chastened investors keep fundraising in a multi-year drought. Private debt still pays its keep, with direct lending returning almost 11% last year, but cracks are showing among smaller funds and the most AI-exposed borrowers, where write-downs are creeping higher. Infrastructure is the outlier success story, its 12-13% annual return leaning on the USD5-7trn the world is expected to spend this decade wiring up data centers for the AI boom. Real estate's fragile recovery is now at risk of stalling as financing costs move higher again instead of easing, and AI's dampening effect on office demand leaves the sector doubly exposed. The thread running through all four is dispersion. Capital is flowing to contracted, well-covered, AI-aligned assets and fleeing everything else, widening the gap between winners and laggards to levels rarely seen.

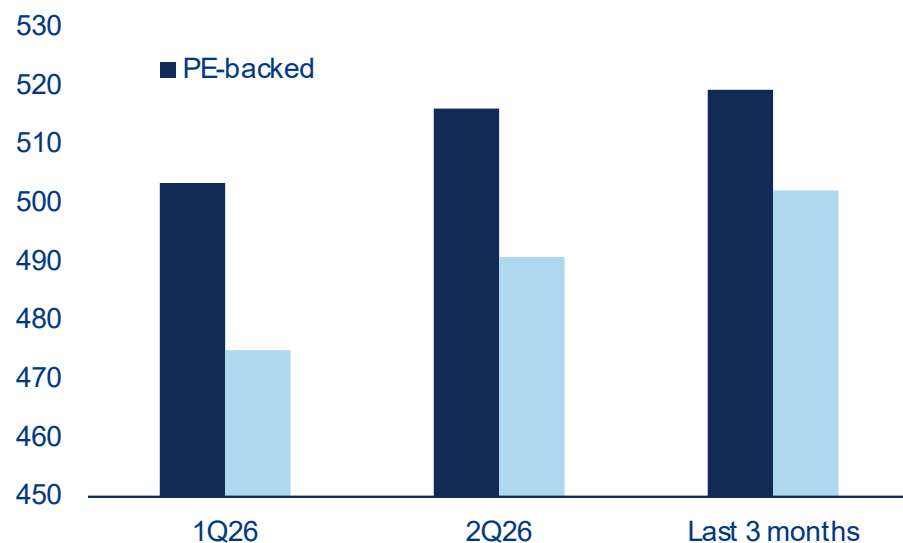
Private equity's story in 2026 is increasingly one of exits, or the lack of them. US buyout funds are still sitting on some 13,300 unsold companies, most acquired in the frothy days of 2020-21 at prices that assumed multiples would keep rising. Instead, across US buyout deals, multiple expansion contributed 37.3% of value creation in the 2011-13 vintages but just 0.5% in 2020-22, with EBITDA margin expansion and revenue growth now doing almost all the work (Figure 9). That is a much harder way to earn a return, and it shows up directly in the exit numbers. US exits fell -46.3% in the second quarter, kept alive mainly by a handful of large sales rather than a broad clearing of the backlog, while dealmaking itself dropped -37.5% as the Fed reopened the door to rate hikes and software, previously the industry's favored sector, fell -65.7% on AI-driven concerns about its growth outlook. With so little cash flowing back to investors, distributions remain thin and the incentive to hold rather than sell persists. Europe tells a related story, deal value rose +6.9% in the second quarter, but its own deals-to-exit ratio has climbed from 2.4x to 2.9x, an early sign that the same operational reckoning may be coming. The lesson on both sides of the Atlantic is the same: Returns now have to be built company by company rather than bought through re-rating, and only sponsors who can genuinely grow revenue and margins will convert their backlog into distributions. We expect private equity to return 7-9% this year, rising to 11-12% in 2027 and 2028 as the exit market gradually reopens.

Figure 9 : US buyout value creation has shifted decisively from multiple expansion to operational growth

Sources: Pitchbook, StepStone, Allianz Research

Private debt has spent 2026 absorbing shocks it was largely built to withstand. Oil spikes and rate scares are not new for this asset class. The summer's Hormuz-driven energy shock pushed spreads a little wider, but the move has been modest. Spreads remain close to historic lows, and leveraged loan defaults, while ticking up, are still only a small drag on returns. In this environment we expect defaults to normalize gradually as energy prices and rate expectations settle back down. Some of the recent concern bundles together several separate issues – retail-vehicle redemptions, loan quality, software exposure and fund-wrapper design – and treating them as one story overstates the risk. The more interesting divergence is in valuations rather than credit quality. Private NAVs have held steady, while listed vehicles trade near 17% discounts, and payment-in-kind income, now around 8% of BDC investment income, is edging up among the weakest borrowers, whose interest coverage is squeezed by still-high floating coupons. The sensible approach, as in most late-cycle credit markets, is to be selective rather than pull back, favoring seniority, strong collateral coverage and full disclosure over older, more richly priced positions elsewhere in the portfolio. We expect spreads to hold around 550bps through year-end, cruising at similar levels through 2027 and 2028 as the asset class settles into a steadier, income-led phase.

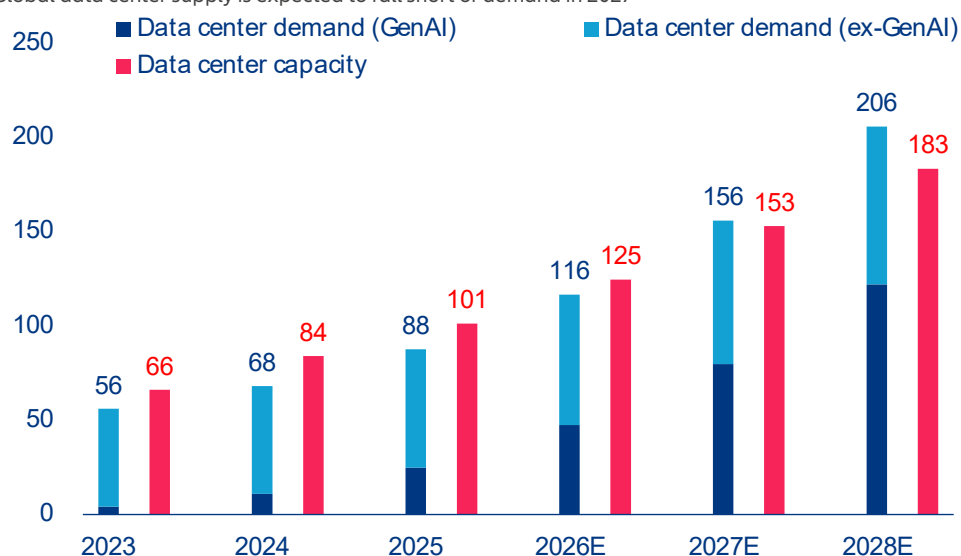
Infrastructure is expected to sustain strong performance, underpinned by AI buildout as a growth lever. Data centers continue to dominate the deal market this year. Despite strong new-build across major regions, demand keeps outstripping supply (Figure 14), holding vacancy at record lows while rents keep growing strongly. With power, permitting, and land constraints sustaining the scarcity, the economics stay attractive for ready-to-use data centers contracted long-term to investment-grade counterparties. Two tailwinds are strengthening the case. First, the token economics are getting more compelling: Usage keeps surging despite significant efficiency gains as workloads shift from chatbots to agentic, reasoning-heavy models and the paradigm grows more compute-intensive. Token prices are stabilizing at the frontier even as serving costs keep falling, supporting provider margins. Hyperscaler AI revenue is now beginning to cover the capex depreciation, pointing to a more sustainable cycle. Second, rising data sovereignty demands across regions add a further durable tailwind. We continue to see infrastructure as a strong play in the AI supercycle – the foundation on which the whole AI stack is built – with tangible, contracted earnings rather than speculative upside.

Figure 10: Spread of PE-backed deals & LBOs, direct lending market, bps

Sources: Pitchbook, StepStone, Allianz Research

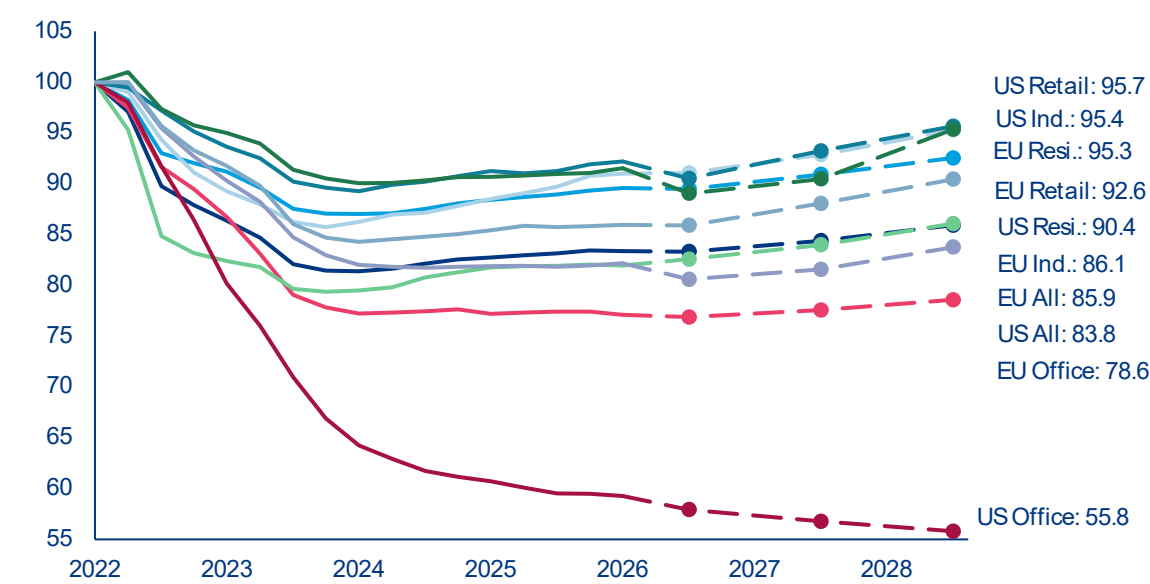
The income-led recovery in real estate continues, but higher long-end yields weigh on pricing and refinancing. Liquidity is returning ahead of pricing: Investment volumes are up 21% y/y in the US and 10% in Europe, drifting back to pre-Covid norms, while prices are stabilizing and cap rates are broadly flat. Values remain 14-16% below the 2022 peak in aggregate on both sides of the Atlantic, with US offices down more than 40% and Europe offices down over 20%, against high-single-digit drawdowns in US retail and industrial and European residential. Fundamentals are supportive: shrinking new supply and resilient occupier demand should underpin a progressive, income-led recovery, but

the path is gradual, with no sector expected to regain its peak before 2028 and offices to barely move (Figure 15). Rates are the constraint. With 10y yields at multi-decade highs on renewed inflation pressure and fiscal concerns, private appraisal cap rates still sit near 2021 levels. Marks have yet to absorb the move, so further outward yield shift and headwinds on refinancing and liquidity lie ahead.

Figure 11: Global data center supply is expected to fall short of demand in 2027

Sources: S&P Global 451 Research, Morgan Stanley, Allianz Research

Figure 12: Pricing is recovering but will stay below peak through 2028, with US offices the worst hit



Sources: MSCI, Allianz Research
Note: Index is rebased, Q2'24 = 100

A photograph showing a variety of hands of different skin tones stacked on top of each other, resting on a thick, textured tree branch. The background is a lush green forest with sunlight filtering through the leaves. The text 'Our team' is overlaid on the image, with 'Our' in white and 'team' in yellow.

Our team

Chief Investment Officer
& Chief Economist
Allianz Investment Management SE



Ludovic Subran
ludovic.subran@allianz.com

Head of Economic Research
Allianz Trade



Ana Boata
ana.boata@allianz-trade.com

Head of Macroeconomic & Capital
Markets Research
Allianz Investment Management SE



Bjoern Griesbach
bjoern.griesbach@allianz.com

Head of Outreach
Allianz Investment Management SE



Arne Holzhausen
arne.holzhausen@allianz.com

Head of Corporate Research
Allianz Trade



Ano Kuhanathan
ano.kuhanathan@allianz-trade.com

Head of Thematic & Policy Research
Allianz Investment Management SE



Katharina Utermoehl
katharina.uterhoehl@allianz.com

Macroeconomic Research



Lluís Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com



Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com



Françoise Huang
Senior Economist for Asia Pacific
francoise.huang@allianz-trade.com



Maddalena Martini
Senior Economist for Southern Europe & Benelux
maddalena.martini@allianz.com



Spyridon Andreopoulos
Senior Economist DACH
spyros.andreopoulos@allianz.com

Outreach



Luca Moneta
Senior Economist for Emerging Markets
luca.moneta@allianz-trade.com



Giovanni Scarpato
Economist for Central & Eastern Europe
giovanni.scarpato@allianz.com



Heike Baehr
Content Manager
heike.baehr@allianz.com



Melissa Eddy
Content Manager
melissa.eddy@allianz.com



Maria Thomas
Content Manager and Editor
maria.thomas@allianz-trade.com

Corporate Research



Jeanne Buée
Sector Advisor
jeanne.buee@allianz-trade.com



Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com



Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com



Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com



Pierre Lebard
Public Affairs Officer
pierre.lebard@allianz-trade.com

Thematic and Policy Research



Michaela Grimm
Senior Economist,
Demography & Social Protection
michaela.grimm@allianz.com



Patrick Hoffmann
Economist, ESG & AI
patrick.hoffmann@allianz.com



Simon Krause
Economist, ESG & Insurance
simon.krause@allianz.com



Hazem Krichene
Senior Economist, Climate
hazem.krichene@allianz.com



Kathrin Stoffel
Economist, Insurance & Wealth
kathrin.stoffel@allianz.com



Markus Zimmer
Senior Economist, ESG
markus.zimmer@allianz.com

Recent Publications

- 24/09/2026 | [Allianz Climate Economics Report 2026: A year of escalating costs](#)
- 17/09/2026 | [How the AI supercycle is reshaping global interest rates](#)
- 16/09/2026 | [Chokepoints and pressure points : what is breaking and reshaping global energy markets](#)
- 10/09/2026 | [The \(A\)iceberg beneath tech debt: Recognized calm, rising spreads below the waterline](#)
- 07/09/2026 | [Sector Atlas 2026 - The three-speed economy: How corporates navigate AI, geopolitics and fragmentation](#)
- 02/09/2026 | [Central Bank Credibility as a risk: Why the ECB leads, the BoJ lags and the Fed and BoE are scrutinized](#)
- 01/09/2026 | [Ten top-of-mind questions on the bond market rout](#)
- 29/07/2026 | [Cracking finance: Why the quantum threat could arrive before the reward](#)
- 28/07/2026 | [When bonds stop hedging equities: rethinking portfolio diversification](#)
- 23/07/2026 | [The price of political fragility](#)
- 22/07/2026 | [Trade war 3.0: A new, lasting tariff wall](#)
- 16/07/2026 | [Cash at risk: Inventories are driving a new cycle of working capital strain](#)
- 15/07/2026 | [Super El Niño risk: more inflation in Asia, oversupply in Latin America yet little disruption in financial markets](#)
- 09/07/2026 | [Europe under water: The macroeconomic cost of flooding and the economic case for adaptation](#)
- 08/07/2026 | [Half-Time Outlook 2026-27: AI holds the score, growth slows to +2.5%](#)
- 02/07/2026 | [Credit risk relocated, not removed: Newton's cradle transmitting risk across BBB, HY, and private credit](#)
- 01/07/2026 | [Low earth, high stakes: The LEO satellite race between AI demand and geopolitical fragmentation](#)
- 25/06/2026 | [Pension Reform Survey 2026: Everyone knows reform is needed, few expect it to happen](#)
- 25/06/2026 | [The semiconductor premium: EM equity and the concentration risk within](#)
- 22/06/2026 | [Ten Years After Brexit: Resilience Without Revival](#)
- 18/06/2026 | [Public vs. private equity: The widest equity return gap in two decades](#)
- 17/06/2026 | [Southern Europe won the last decade. The next one is less obvious](#)
- 16/06/2026 | [US-Iran Deal: Markets price peace, economies still pay for war](#)
- 10/06/2026 | [From kickoff to cash flow – Taking the 2026 Football World Championship on tour](#)
- 08/06/2026 | [Emerging markets in a fragmented world: From geography to resilience - the 4Rs framework](#)
- 03/06/2026 | [Weed out the laggards: Sustainability as a credit filter](#)
- 02/06/2026 | [Matryoshka market: Nested convictions in equities](#)
- 28/05/2026 | [Too hot to grow: The economic costs of extreme heat](#)
- 28/05/2026 | [Allianz Global Insurance Report 2026: The Future of Insurance in a Fragmenting World](#)
- 20/05/2026 | [How AI is rewiring global trade](#)
- 19/05/2026 | [Transatlantic spread – from monetary signal to fiscal mirror](#)
- 05/05/2026 | [Automotive: Will the Middle East crisis supercharge EV momentum?](#)
- 12/05/2026 | [Thinking fast, building slow: The energy cost of the US AI boom](#)
- 12/05/2026 | [Behind the gate: The promises and perils of private markets democratization](#)
- 06/05/2026 | [US large banks: The peak of the cycle is not the time to be complacent](#)
- 05/05/2026 | [Automotive: Will the Middle East crisis supercharge EV momentum?](#)

Discover all our publications on our websites: [Allianz Research](#) and [Allianz Trade Economic Research](#)

Director of Publications
Ludovic Subran, Chief Investment Officer & Chief Economist
Allianz Research
Phone +49 89 3800 7859

Allianz Group Economic Research
https://www.allianz.com/en/economic_research
<http://www.allianz-trade.com/economic-research>
Königinstraße 28 | 80802 Munich | Germany
allianz.research@allianz.com

 @allianz

 allianz

Allianz Trade Economic Research
<http://www.allianz-trade.com/economic-research>
1 Place des Saisons | 92048 Paris-La-Défense Cedex | France

 @allianz-trade

 allianz-trade

About Allianz Research

Allianz Research encompasses Allianz Group Economic Research and the Economic Research department of Allianz Trade.

Forward looking statements

The statements contained herein may include prospects, statements of future expectations and other forward-looking statements that are based on management's current views and assumptions and involve known and unknown risks and uncertainties. Actual results, performance or events may differ materially from those expressed or implied in such forward-looking statements. Such deviations may arise due to, without limitation, (i) changes of the general economic conditions and competitive situation, particularly in the Allianz Group's core business and core markets, (ii) performance of financial markets (particularly market volatility, liquidity and credit events), (iii) frequency and severity of insured loss events, including from natural catastrophes, and the development of loss expenses, (iv) mortality and morbidity levels and trends, (v) persistency levels, (vi) particularly in the banking business, the extent of credit defaults, (vii) interest rate levels, (viii) currency exchange rates including the EUR/USD exchange rate, (ix) changes in laws and regulations, including tax regulations, (x) the impact of acquisitions, including related integration issues, and reorganization measures, and (xi) general competitive factors, in each case on a local, regional, national and/or global basis. Many of these factors may be more likely to occur, or more pronounced, as a result of terrorist activities and their consequences.

No duty to update

The company assumes no obligation to update any information or forward-looking statement contained herein, save for any information required to be disclosed by law.

Allianz Trade is the trademark used to designate a range of services provided by Euler Hermes.